IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

CP (CAA) No. 23/BB/2018

U/S 230 to 232 of the Companies Act, 2013

Order Delivered on: 30.8.2018

IN THE MATTER OF SCHEME OF ARRANGEMENT

BETWEEN

NIRMAN SHELTERS (BANGALORE) PRIVATE LIMITED

AND

NAVA NIRMAN-VLN PRABUDDHALAYA & AYURDHAM PRIVATE LIMITED

AND

THEIR RESPECTIVE SHAREHOLDERS

Coram: 1. Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)

2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Nava Nirman-VLN Prabuddhalaya & Ayurdham Private Limited
No.748A, Nisarga Layout,
Bannerghatta Post,
Jigani Hobli,
Bengaluru-560083 - **Petitioner No. 1/Transferee Company**

Nirman Shelters (Bangalore) Private Limited
No. 36/2, 1st Floor,
Patalamma Temple Street,
Near South End Circle, Basavangudi
Bengaluru-560004 - **Petitioner No. 2/Transferor Company**

Parties Present :
1) Mr. Saji.P.John
Advocate for the Petitioner Company
2) Mr. B.S. Venkatanarayana
Central Government, Standing Counsel for RoC and RD

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical)**

Heard on: 13.4.2018, 2.3.2018, 31.5.2018, 24.7.2018, 21.08.2018

ORDER

1. The Company Petition was filed on behalf of the Petitioner Companies under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Arrangement whereby "Prabuddhalaya and Ayurdham" division (Demerged Undertaking) of **Nirman Shelters (Bangalore) Private Limited** (Petitioner No. 2/Transferor Company) is being merged with **Nava Nirman-VLN Prabuddhalaya & Ayurdham Private Limited** (Petitioner No. 1/Transferee Company) so as to be binding on all the Shareholders and the secured and unsecured creditors, employees and all other relevant parties of the Petitioner Companies.

2. The averments made in the Company Petition are briefly described hereunder:-
   a. The Petitioner Companies seek an order for sanctioning the Scheme of Arrangement of Prabuddhalaya and Ayurdham" division (Demerged Undertaking) of Nirman Shelters (Bangalore) Private Limited (Petitioner No. 2/Transferor Company) with Nava Nirman-VLN Prabuddhalaya & Ayurdham Private Limited (Petitioner No. 1/Transferee Company). The Scheme of Amalgamation is shown as **Annexure -A**.
   b. The Petitioner No.1/Transferee Company was incorporated on 9th February, 2017 under the name and style "Nava Nirman-VLN Prabuddhalaya & Ayurdham Private Limited" and obtained Certificate of Incorporation bearing CIN No. U74999KA2017PTC100383. The Registered office of the Petitioner No.2/Transferee Company is situated at No.748A, Nisarga Layout, Bannerghatta Post, Jigani Hobli, Bengaluru-560083.
   c. The Petitioner No.1/Transferee Company's main objects as set out in its Memorandum of Association *inter alia* is "to carry on the business of purchase, sale, construct, develop, hire, lease, construct, maintain, establish, running and managing of service oriented senior citizens homes on commercial basis for old

age people, with combination of different facilities including shelter, food, medical facilities and recreation either on own account or through franchise or other models and to provide consulting, advisory, training, manage and turnaround for other similar businesses". The Copy of the Memorandum & Articles of Association of the Transferee Company is shown in **Annexure-B.**

d. The authorized, issued, subscribed and paid-up share capital of the Petitioner No.1/Transferee Company as stated in the petition is Rs. 1,00,000/- divided in to 10,000 equity shares of Rs. 10/- each. The Copy of Audited Financials of the Petitioner No. 1/Transferee company as on 31st March, 2017 and is shown in **Annexure-C.**

e. The Petitioner No. 2/Transferor Company was incorporated on 6th March, 1995 as a Private Limited Company under the name and style as "Nirman Shelters (Bangalore) Private Limited" and obtained Certificate of Incorporation bearing CIN No. U85110KA1995PTC017321. The Registered office of the Petitioner No.2/Transferor Company is situated at No. 36/2, 1st Floor, Patalamma Temple Street, Near South End Circle, Basavangudi, Bengaluru-560004.

f. The Transferor Company's main objects as set out in its Memorandum of Association *inter alia* is "to carry on the business of purchase, sale, construct, develop, hire, lease, construct, maintain, establish, running and managing of service oriented senior citizens homes on commercial basis for old age people, with combination of different facilities including shelter, food, medical facilities and recreation either on own account or through franchise or other models and to provide consulting, advisory, training, manage and turnaround for other similar businesses". The Copy of Certificate of Incorporation, Memorandum & Articles of Association of the Transferor Company is shown in **Annexure-D.**

g. The authorized share capital of the Transferor Company as stated in the petition is Rs. 1,00,00,000/- divided in to 10,00,000 equity shares of Rs. 10/- each and issued subscribed and paid up share capital of Rs. 20,48,000/- divided in to 2,04,800 equity shares of Rs.10/- each. The Copy of Audited Financials of the Transferor Company as on 31stMarch, 2017 and as shown in **Annexure-E.**

h. The Board of Directors of the Petitioner No.1/Transferee Company and Petitioner No.2/Transferor Company have approved and adopted the Scheme of Amalgamation at its respective meeting held on 29th January, 2018. The copies of Board Resolutions are shown in **ANNEXURE – F series.**

i. That the Petitioner No.1/Transferee Company & Petitioner No. 2/Transferor Company had filed Company Application No. (CAA) 10/BB/2018 before this Tribunal for dispensation of the meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner Companies. This Tribunal vide separate orders dated 22nd March, 2018 allowed the Application and dispensed with convening of meeting of Equity Shareholders, Secured Creditors & Unsecured Creditors of the Petitioner Companies. The Copy of the Order of this Tribunal in CA (CAA) No. 10/BB/2018 is shown as **Annexure- G.**

3. This Tribunal vide order dated 13th April, 2018 directed the Petitioner Companies to issue Notice to Regional Director, Ministry of Corporate Affairs, South-East Region, Register of Companies, Income Tax Authorities, and applicable regulatory authority if any and also to have an advertisement of notice of Petition be carried out in the '**The Hindu**', an English daily Newspaper and '**Udaya Vani**' a Kannada daily Newspaper and stating the next date of hearing was on 31st May, 2018. In pursuant to the same the Counsel for the Petitioner Companies has filed an affidavit **dated 4th May, 2018** of the authorized signatory of the Petitioner Company for having taken paper publication as directed and also has furnished the copy of the paper publication for having taken Advertisement in '**The Hindu**', an English daily Newspaper and '**Udaya Vani**'a Kannada daily Newspaper and proof of sending notices to the relevant authorities.

4. The Registrar of Companies, Karnataka has filed its representation vide No. ROCB/LEGAL/CP(CAA)/23/BB/2018 dated 16th July, 2018 making following observations in *para 31* therein :

1) The Transferor Company did not spend the CSR amount in the year 2016-2017 to the tune of Rs. 4.97 Lakh reason for not spending the amount has also not been

stated in the Director's Report, hence violated Section 135 read with Section 134 of the Companies Act, 2013. Further, in Director's Report for the year 2016-17, it was stated that in the year 2015-2016, it had spent Rs. 56,32,00,000/- towards CSR. However, in the Financial Statement under the head other expenses (Note: 21), it is seen that as on 31.03.2016, no amount had been booked under the head of CSR. Hence, it is a misstatement in Directors' Report in the year 2016-2017.

2) The Transferor Company had shown long term borrowing of Rs. 11.20 Cr. as at 31.03.2017. However, it has not been stated whether it is secured or unsecured and terms of repayment etc. Hence violated Section 129 of Companies Act, 2013.
3) AS-18 statement of Transferor Company for the year 2016-2017 did not state, the actual transactions with related concerned and also previous year figure has not been given.
4) Clause No. 10 of the Scheme states that the Petitioner Companies shall account the demerger as per accounting standards prescribed by the Central Government under Section 133 of Companies Act, 2013, and submitted certificate from Chartered Accountants that the accounting treatment proposed in the Scheme is in conformity with the accounting standard prescribed under Section 133 of Companies Act, 2013.
5) The clause of transfer of employees of the demerged undertaking of the transferor company with the transferee company is provided at Clause No. 11 of the Scheme.
6) The Hon'ble NCLT vide its order in CA (CAA) No. 10/BB/2018 dated 22/03/2018 dispensed with the convening of the meetings of the shareholders of Transferor Company & Transferee Company and secured creditors of Transferor Company.
7) There are no prosecutions, complaints, technical scrutiny/inspection is pending in this office on the petitioner companies.

5. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 23rd July, 2018 stating that:

A. That this office has been communicated by Regional Director, Ministry of Corporate Affairs, South East Region, Hyderabad, vide his Ref: F No 3/Karnataka/

Amal/ 879/ RD/(SER)/2017 dated 23.07.2018 stating therein that he being the competent authority on behalf of Central Government has examined the scheme with reference to the material papers made available to him. In this regard it is observed that:

a. The observations made by ROC in his report dated 16.07.2018 at Para No. 31 (1), (2) and (3) may be brought to the notice of NCLT. The Petitioner Transferor Company may be directed to file application for compounding violations pointed out.
b. As per Sec. 232(6) of Companies Act, 203, the scheme under this sections hall clearly indicate an appointed date from which it shall be effective and the scheme shall be deemed to be effective from such date and not at a date subsequent to the appointed date. However, Clause 3.7 of the scheme is contrary to Sec. 232(6) and needs modification.
c. As per the Annual Report of the Resultant/Transferee Company as at 31.03.2017, it has conducted only on Board Meeting on 10.02.2017 and thus in violation of Sec. 173 of the Companies Act, 2013. Hence, may be advised to file application for compounding of the offence.
d. The scheme does not propose any consideration. The shareholders of the Demerged Company and the Resultant Company are not 100% identical. Hence, the scheme is not in compliance of Sec. 2 (19AA)(iv) and (v) of the Income Tax Act, 1961. The petitioner company be directed to place on record the reasons for not giving either consideration or shares in lieu thereof.
e. The list of Demerged assets and liabilities is not submitted. Hence, the petitioner company may be directed to submit the same.

6. The Authorized Signatory of the Petitioner Companies has filed Affidavit dated 1st August, 2018 in furnishing response to the reports of the Registrar of Companies and Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad, which are as follows:

a. *For Observation no. (1) of the RoC*: It is submitted that, during the financial year 2015-2016, the Company had spent an amount of Rs. 56,32,000/- as stated in Annexure B to the Directors report. This amount was added to the expenditure head "Advertisement and Business expenditure" of Rs. 1,35,89,728 under Note 21. This amount has been disallowed under the Income Tax Act. The sheet of "Details of Income returned" is produced herewith as an evidence for the same. However, during the financial year 2016-17, the CSR expenditure of Rs. 5,00,000/- was shown separately under Note 21. The previous year expenditure was not regrouped due to oversight. Regarding the quantum of expenditure, there was an excess expenditure of Rs. 48,23,387/- during the year 2015-16, as stated in Annexure-B to the Directors report. After readjusting the required expenditure and actual expenditure of the year 2016-2017, there was still an excess expenditure of Rs. 43,26,091/- as on 31.03.2017. Thus, there was neither a short expenditure, nor there was a misstatement.

b. *For Observation no. (2) of the RoC*: It is submitted that, the company has been carrying on the business of running senior citizen's home. The customers are charged a monthly charge towards the room, rent, food and other facilities provided by the company. In order to secure the monthly fees due from the users, a security deposit is being collected, which is returnable without any interest. It is in the nature of returnable advance received from the customers and not a borrowing. As it is not in the nature of current liabilities, it is grouped under Long Term borrowings. The Company also made a disclosure to the effect in Note 3 itself as "Other loans and advances-including security deposit", thus clearly stating that it is not in nature of borrowing.

c. *For Observation no. (3) of the RoC*: It is submitted that, under Note 22, significant accounting policies have been stated by the company. Under clause XV(b) of this note, the actual amount of the transaction has been stated. Due to oversight, the previous year's details have been missed out to be specified. It is submitted that the company is a closely held private limited company held 99.99% by Mr. V. Lakshminarayana. The company has been filing the returns and other forms with

the Registrar of Companies regularly. There has been exhaustive disclosures made by the company vide Notes and also in the Directors report. There is no willful intention to make any misstatement or not to disclose any material information as required by law.

d. *For Observation (a) of the RD*: It is submitted that, in view of the above explanation, the RD observations may be dropped.

e. *For Observation (b) of the RD*: It is submitted that, the scheme is in line with the provisions of Sec 232(6) of the Companies Act, 2013. Further Clause 3.7 of the Scheme provides that the scheme shall be operative from the appointed date.

f. *For Observation (c) of the RD*: It is submitted that the Transferee Company was incorporated on 9.2.2017 and one board meeting is conducted on 10.2.2017 and accordingly there is no violation of Section 173 of Companies Act, 2013.

g. *For Observation (d) of the RD*: It is submitted that, the companies are closely held private companies, Mr. V. Lakshminarayana is holding 99.99% in the Transferor and Transferee Companies. The only other shareholder is Mr. S.M. Patil who holds only 10 shares in the Transferor Company and Ms. Shushma Murthy, who holds 1 share in the Transferee Company. List of shareholders of both the companies certified by Chartered Accountant is produced as Annexure-1. Either companies are not complaining any reliefs under Sec 2 (19AA) (iv) and (v) of the Income Tax Act 1961.

h. *For Observation (e) of the RD*: The Petitioner companies have submitted the list of Demerged assets and liabilities.

7. It is submitted that, The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed additional Affidavit dated 20th August, 2018 stating that:

A. That this office has been communicated by Regional Director, Ministry of Corporate Affairs, South East Region, Hyderabad, vide his Ref: F No. 3/Karnataka/ Amal/ 879/ RD/(SER)/2017 dated 09.8.2018 & letter No. 3/Karnataka/ Amal/ 879/ RD/(SER)/2017 dated 17.8.2018 stating therein that he being the competent

authority on behalf of Central Government has examined the reply affidavit filed by the petitioner company served in the Directorate. In this regard, it is observed that:

a. In respect of the CSR violation, the Petitioner Company has admitted that the expenditure pertaining to CSR for the year 2015-16 was strongly grouped under the "Advertisement and Business" expenditure instead of "CSR" expenditure. Hence, there is a violation of Sec. 129 r/w Sch. III of the Companies Act, 2013. The petitioner company may be directed to give an undertaking to get the offence compounded. Also, the statutory auditor of the company be directed to get the offence compounded. In respect of violation of Sec. 135 r/w Sec. 134 of the Companies Act, 2013, the petitioner company may be directed to give an undertaking to get the offence compounded.
b. The company's reply regarding long term borrowing of Rs. 11.20 crores towards security deposit is found acceptable and hence this observation may not be pursued further.
c. The petitioner company's reply regarding related party transactions is acceptable considering the fact put forth that it is a closely held company. Hence, this observation is not being insisted to.
d. RoC's observations at Para No. 31(1),(2) and (3) of his report, have been addresses in (a),(b) and (c) above.
e. The company's clarification regarding the "Appointed Date" may be taken on record by Hon'ble NCLT.
f. The petitioner company's reply regarding non-holding of Board Meetings is acceptable and hence this observation may be dropped.
g. The petitioner company has clarified that it is not claiming any relief under Sec. 2(19AA)(iv) and (v) of the Income Tax Act, 1961 which may be taken on record. Hence, this observation is being dropped.
h. The petitioner company has submitted the list of Demerged assets and liabilities and hence no further compliance is being insisted upon.

8. The Authorized Signatory of the Petitioner Companies has filed undertaking Affidavit dated 21st August, 2018 in furnishing response to the observations of the Registrar of Companies and Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad undertaking to compound offence relating to the violation of Sec. 129 R/w Sch. III of Companies Act, 2013 and violation of Sec. 135 R/w Sec. 134 of the Companies Act, 2013. Additionally, the Statutory Auditor of the Nirman Shelters (Bangalore) Private Limited (Petitioner No. 2/Transferor Company) has filed undertaking Affidavit dated 21st August, 2018 in furnishing response to the observations of the Registrar of Companies and Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad undertaking to compound offence relating to the violation of Sec. 129 R/w Sch. III of Companies Act, 2013.

9. The Counsel for the Petitioner Companies have filed copy of Accounting Treatment Certificates **dated 23rd February, 2018** of the Auditor stating that "the Accounting treatment proposed in the SCHEME OF ARRANGEMENT BETWEEN NIRMAN SHELTERS (BANGALORE) PRIVATE LIMITED AND NAVA NIRMAN-VLN PRABUDDHALAYA & AYURDHAM PRIVATE LIMITED is in conformity with the accounting standard prescribed under Section 133 of Companies Act, 2013". The Auditors Certificate on Accounting Treatment is shown as **Annexure-H series**.

10. After hearing the Counsel for the Petitioner Companies and considering the materials on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved.

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme as above, we further clarify that, this order should not be construed as an order in any way of granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any

permission/ compliance with any other requirement which may be specially required under any law; and

The Whole of the property, rights and powers of the Prabuddhalaya and Ayurdham division (Demerged Undertaking) of Nirman Shelters (Bangalore) Private Limited (Petitioner No. 2/Transferor Company) be transferred without further act or deed to Nava Nirman-VLN Prabuddhalaya & Ayurdham Private Limited (Petitioner No. 1/Transferee Company) and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Transferee Company for all the state and interest of the Transferor Company therein but subject nevertheless to all charges now affecting the same; and

All liabilities including taxes and charges, if any and duties of the Prabuddhalaya and Ayurdham division (Demerged Undertaking) of Nirman Shelters (Bangalore) Private Limited (Petitioner No. 2/Transferor Company) be transferred without further act or deed to the Nava Nirman-VLN Prabuddhalaya & Ayurdham Private Limited (Petitioner No. 1/Transferee Company) and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Resulting Company; and

All proceedings now pending by or against the Prabuddhalaya and Ayurdham division (Demerged Undertaking) of Nirman Shelters (Bangalore) Private Limited (Petitioner No. 2/Transferor Company), if any, be continued by or against the Nava Nirman-VLN Prabuddhalaya & Ayurdham Private Limited (Petitioner No. 1/Transferee Company); and

The Petitioner Companies shall ensure compliance with the Affidavits dated 1st August, 2018 and 21st August, 2018; and

The tax implications, if any arising out of the scheme is subject to final decision of concerned Tax Authorities and the decision of the respective Tax Authority shall be binding; and

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Arrangement to be

delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements And Amalgamations) Rules, 2016; and

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Arrangement i.e., 1st April, 2018 subject to the compliance of compounding of offences relating to the violation of Sec. 129 r/w Sch. III of Companies Act, 2013 and Sec. 135 r/w Sec. 134 of Companies Act, 2013; and

The Prabuddhalaya and Ayurdham division (Demerged Undertaking) of Nirman Shelters (Bangalore) Private Limited (Petitioner No. 2/Transferor Company), or its authorized signatory is directed that after the completion of the process of Arrangement to handover the possession of the books of accounts and other relevant documents Nava Nirman-VLN Prabuddhalaya & Ayurdham Private Limited (Petitioner No. 1/Transferee Company) for the purpose of Section 239 of the Companies Act, 2013.

Any person shall be at the liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

ASHOK KUMAR MISHRA
MEMBER, TECHNICAL

RAJESWARA RAO VITTANALA
MEMBER, JUDICIAL

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